How good a job are its managers doing, given the hand they have been dealt?”[14]

Buffett also admires managers who have the courage to discuss failure openly. Over time, every company makes mistakes, both large and inconsequential. Too many managers, he believes, report with excess optimism rather than honest explanation, serving perhaps their own interests in the short term but no one’s interests in the long run.

Most annual reports, he says bluntly, are a sham. That’s why in his own annual reports to Berkshire Hathaway shareholders, Buffett is very open about Berkshire’s economic and management performance, both good and bad. Throughout the years, he has admitted the difficulties that Berkshire encountered in both the textile and insurance businesses, and his own management failures in regard to these businesses. In the 1989 Berkshire Hathaway annual report, he started a practice of listing his mistakes formally, called “Mistakes of the First Twenty-Five Years (A Condensed Version).” Two years later, the title was changed to “Mistake Du Jour.” Here, Buffett confessed not only mistakes made but opportunities lost because he failed to act appropriately.

Critics have noted that it’s a bit disingenuous for Buffett to publicly admit his mistakes; because of his large personal ownership of Berkshire’s common stock, he never has to worry about being fired. This is true. But by modeling candor, Buffett is quietly creating a new approach to management reporting. It is Buffett’s belief that candor benefits the manager at least as much as the shareholder. “The CEO who misleads others in public,” he says, “may eventually mislead himself in private.”[15] Buffett credits Charlie Munger with helping him understand the value of studying one’s mistakes, rather than concentrating only on successes.

The Institutional Imperative

If management stands to gain wisdom and credibility by facing mistakes, why do so many annual reports trumpet only success? If allocation of capital is so simple and logical, why is capital so poorly allocated? The answer, Buffett has learned, is an unseen force he calls “the institutional